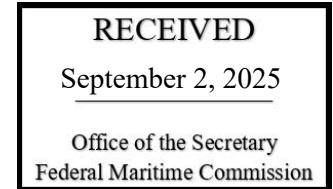


Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-25

20230930-DK-BUTTERFLY-1, INC. v. CMA CGM S.A.



VERIFIED COMPLAINT

I. INTRODUCTION

1. Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by its undersigned counsel, brings this Verified Complaint (the “Complaint”) against Respondent CMA CGM S.A. (“Respondent” or “CMA”) pursuant to 46 U.S.C. Section 41301 to seek reparations for injuries to Complainant caused by CMA’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 et seq. (the “Shipping Act”), alleged herein.

2. The COVID-19 pandemic caused unprecedented challenges to trade and the global economy. During these difficult times, as alleged herein, CMA took advantage of disruptions to the container shipping sector and unfairly charged Complainant (and, upon information and belief, other shippers) unjust and unreasonable detention and demurrage penalties in circumstances where containers could not be timely picked up or returned for reasons outside of shippers’ control. These improper penalties were particularly damaging to Complainant, which was forced to file a Chapter 11 bankruptcy petition on April 23, 2023.

3. Upon information and belief, during 2021 and 2022, at least a substantial majority of the demurrage and detention penalties (the “Charges”) assessed by CMA and paid by

Complainant were assessed for periods of time in which Complainant's ability to pick up containers at the ports, or return empty containers promptly, was constrained due to circumstances outside the control of Complainant, such as congestion at ports and shortage of equipment.

4. Upon information and belief, CMA's practices were knowing and deliberate.

5. Upon information and belief, CMA has profited from the conduct alleged herein.

6. During the COVID-19 pandemic, many companies, similar to Complainant, faced severe pressure from freight costs and "could potentially go bankrupt because of the current situation with extremely high freight rates" as described by one maritime commenter and industry consultant, Vespucci Maritime CEO Lars Jensen. Mr. Jensen further stated that "[i]f the situation ends up not lasting long, most will be able to hold their breath and weather the storm. But the longer it lasts, the more will end up in a situation they're unable to manage." The contemporary impacts of increased unjust and unreasonable detention and demurrage charges across the entire shipping industry were devastating to shippers' businesses. Indeed, the International Monetary Fund released an Analytical Series report on January 24, 2023 indicating that "[t]he 2021 surge in global shipping costs was a canary in the coal mine for the persistent rise in inflation" and that "[g]iven the actual increase in global shipping costs during 2021, we estimate that the impact on inflation in 2022 was more than 2 percentage points—a huge effect that few central banks would dismiss."

7. CMA's conduct alleged herein with respect to the receipt, handling, storage, and/or delivery of the property of Complainant and, upon information and belief, of other shippers, occurred on a normal and customary basis.

8. Accordingly, pursuant to 46 U.S.C. Section 41301, Complainant brings this Complaint seeking reparations for injuries caused by CMA's violations of the Shipping Act, as alleged herein.

II. THE COMPLAINANT

9. Complainant 20230930-DK-Butterfly-1, Inc. is a corporation existing under the laws of New York with a mailing address: P.O. Box 1596, Union, New Jersey 07083, reachable via telephone via (954) 468-2444, and via its undersigned counsel's telephone numbers and email addresses listed below. Prior to filing a change of name certificate to its present name with the New York State Division of Corporations, State Records, and Uniform Commercial Code on September 21, 2023, Complainant's corporate name was Bed Bath & Beyond Inc. For purposes of the allegations of this Complaint, Complainant was a "shipper" as that term is defined by 46 U.S.C. Section 40102(23).

III. THE RESPONDENT

10. Upon information and belief, Respondent CMA CGM S.A. is a company existing under the laws of France with its principal place of business located at 4, Quai D'Arenc, P.O. Box 2409, 13215 Marseilles Cedex 02, France, acting in the United States by and through its agent, CMA CGM (America) LLC, a limited liability company existing under the laws of New Jersey with its principal place of business located at 5701 Lake Wright Drive, Norfolk, Virginia, 23502, and is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with organization number 016541. Upon information and belief, Respondent CMA CGM S.A. and CMA CGM (America) LLC acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as "CMA."

IV. JURISDICTION AND LEGAL AUTHORITY

11. The Federal Maritime Commission (the “FMC” or “Commission”) has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act and, in particular, 46 U.S.C. Sections 41301 *et seq.*

12. The FMC has personal jurisdiction over CMA as an “ocean common carrier,” as that term is defined by 46 U.S.C. Section 40102(18).

13. CMA’s assessment of the Charges, or a substantial majority thereof, and the alleged acts or omissions of CMA that led to the assessment of such Charges constitute failures by CMA to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c) and the FMC’s Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638 (May 18, 2020) (partially codified at 46 C.F.R. Section 545.5) (the “Interpretive Rule”), and in particular the Incentive Principle articulated in the Interpretive Rule.

14. CMA’s assessment of the Charges, or a substantial majority thereof, and the alleged acts or omissions of CMA that led to the assessment of such Charges also constitute violations of 46 U.S.C. Section 41104, including in particular 46 U.S.C. Section 41104(a)(10)’s prohibition on unreasonable refusals to deal or negotiate and 46 U.S.C. Section 41104(a)(14).

15. Complainant previously notified CMA of its Shipping Act claims alleged herein, and thereafter Complainant and CMA entered into a tolling agreement with respect to such claims effective as of December 4, 2024 through the present. As such, Complainant’s claims alleged herein are timely brought.

V. THE MATTERS COMPLAINED OF (ALLEGED FACTS)

16. This Complaint relates to at least approximately \$385,324.02 in Charges that Complainant paid in connection with CMA voyages during 2021 and 2022.

17. Upon information and belief, the Charges assessed by CMA and paid by Complainant were assessed during periods of time in which such Charges were not just, reasonable, or fair because of circumstances outside the control of Complainant and its agents and service providers, such as congestion and lack of appointments and equipment at port terminals.

18. During the acute phase of the supply chain congestion crisis, when CMA imposed exorbitant demurrage and detention charges on Complainant, significant delays were occurring at the Los Angeles/Long Beach (LA/LB), New York/New Jersey (NY/NJ), and Savannah port complexes. In particular, during the period from November 2021 to September 2022, congestion at California ports reached unprecedented levels. The LA/LB ports, handling about 40% of U.S. imports, faced severe congestion in 2021-2022, with at one point over 100 ships waiting for berths, exacerbated by a shortage of trucks and rail capacity. The NY/NJ ports similarly experienced increasing congestion, with vessel waiting times rising and container dwell times doubling to up to 7 days. During that same period in Savannah, 24 vessels were waiting for berths, and dwell times extended to 9.2 days. In late 2021 and early 2022, the number of container ships waiting for a dock at a U.S. port more than doubled, peaking at more than 150 in early February. This congestion was driven by record-breaking cargo volumes resulting from increased consumer demand during the pandemic.

19. CMA itself has acknowledged the unprecedented disruptions in port and inland supply chains at this time and was aware of market forces causing delays in picking up or returning containers. According to CMA, congestion peaked in December 2021 and continued to constrain

the effective capacity of the global fleet into early 2022, resulting in strong demand conditions and higher shipping rates.

20. These disruptions at critical entry points led to widespread issues across the country, affecting inventory levels and contributing to delays and increased costs in the supply chain. These widespread delays outside of Complainant's control led to significant detention and demurrage charges from CMA during this period.

21. As Commissioner Rebecca F. Dye emphasized in her Final Report from the FMC's Fact Finding Investigation 29, "the Interpretive Rule on Detention and Demurrage promulgated by the Commission pursuant to Fact Finding 28 provides the shipping public with an *enforceable principle* that the Commission employs to assess the reasonableness of demurrage and detention practices and regulations under the Shipping Act of 1984, as amended."

22. As illustrated in the FMC's Interpretive Rule, "the purpose of demurrage and detention are *to incentivize cargo movement*," and therefore the FMC "will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity."

23. As alleged herein, CMA's assessment of the Charges, or a substantial majority thereof, and the acts or omissions of CMA that led to the assessment of such Charges, were incapable of incentivizing cargo movement and therefore unreasonable.

24. The Charges imposed on Complainant did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive penalty on Complainant for circumstances over which Complainant and its agents and service providers had little to no control.

25. CMA's wrongful imposition of the Charges injured Complainant in amounts up to or exceeding \$385,324.02 in improper detention and demurrage charges.

26. Abusive, unjust, and unreasonable practices by major international ocean carriers, such as the conduct alleged herein, are likely to wield outsized influence over general practices in the industry. If not corrected, CMA's unlawful practices may become industry standard, sending a message to all global container lines that it is acceptable to impose punitive detention and demurrage charges upon shippers because of delays and conditions outside of shippers' control.

VI. CAUSES OF ACTION

COUNT I: VIOLATION OF 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5

27. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

28. CMA's assessment of the Charges, and the alleged acts or omissions of CMA that led to the assessment of such Charges, constituted failures by CMA to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule.

29. Furthermore, Respondent's practices and actions related to the assessment of demurrage and detention Charges under bills of lading with Complainant are inconsistent with or do not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations), in violation of 46 U.S.C. Section 41104(a)(14).

COUNT II: VIOLATION OF 46 U.S.C. § 41104(a)(10)

30. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

31. CMA's practices and actions related to the assessment of the Charges, and the alleged acts or omissions of CMA that led to the assessment of the Charges, constituted unreasonable refusals to deal or negotiate with Complainant in violation of 46 U.S.C. Section 41104(a)(10).

VII. CAUSATION

32. CMA's assessment of the Charges has directly and proximately injured Complainant by forcing Complainant to pay unjust and unreasonable Charges.

33. CMA's conduct has caused Complainant to incur other injuries, including delays, failures to receive time-sensitive merchandise, reduced inventory for sale, unnecessary expenses, lost profits, as well as attorneys' fees and expenses relating to litigation.

VIII. REPARATIONS SOUGHT

34. During 2021 and 2022, Complainant paid at least approximately \$385,324.02 in detention and demurrage Charges in connection with CMA voyages. Complainant believes that a substantial majority of the Charges, in an amount to be determined by the FMC in this proceeding, were unjustly and unreasonably assessed, and requests reparations for all such Charges that the FMC determines did not comply with 46 U.S.C. Section 41102(c) or 41104(a) or determines to be unreasonable under 46 C.F.R. Section 545.5 and the FMC's Interpretive Rule.¹

¹ The Ocean Shipping Reform Act of 2022, Pub. L. No. 117-146, 136 Stat. 1272 (Jun. 16, 2022) ("OSRA 2022"), included a new procedure for complaints about charges assessed by common carriers, now codified at 46 U.S.C. Section 41310, which, *inter alia*, requires the common carrier to "bear the burden of establishing the reasonableness of any demurrage or detention charges pursuant to" 46 C.F.R. Section 545.5. 46 U.S.C. § 41310(b)(2). Complainant respectfully submits that nothing in the text of OSRA 2022 purports to limit the availability of this *procedure*,

35. In addition to the injuries stated in the preceding paragraph, Complainant also suffered other injuries to be calculated at trial.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that the FMC require CMA to answer this Complaint pursuant to 46 U.S.C. Section 41301(b), and prays for relief from the FMC as follows:

1. An investigation by the Commission pursuant to 46 U.S.C. Section 41301(c) of the allegations in this Complaint and the Charges' compliance with 46 U.S.C. Sections 41102(c) and 41104 and reasonableness pursuant to 46 C.F.R. Section 545.5 and the FMC Interpretive Rule;

2. An Order, after due investigation pursuant to 46 U.S.C. Section 41301(c), finding that CMA has violated 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule by assessing the Charges or a substantial majority thereof in connection with its receipt, handling, storage, and delivery of the property of Complainant, and that CMA's assessment of the Charges or a substantial majority thereof constituted unreasonable refusals to deal or negotiate with Complainant and Complainant's agents and service providers, in violation of 46 U.S.C. Section 41104(a)(10);

including the aforementioned burden allocation, as long as a complainant's *substantive* claims regarding the charges at issue are based entirely on pre-existing (i.e., pre-OSRA 2022) Shipping Act provisions and associated regulations, and do not invoke any of OSRA's new *substantive* provisions or protections with respect to such charges. For that reason, Complainant believes that the *procedure* set forth in 46 U.S.C. Section 41310 with respect to the Charges complained of herein should be available to Complainant notwithstanding the FMC's July 14, 2022 "Industry Advisory – Interim Procedures for Submitting 'Charge Complaints' Under 46 U.S.C. § 41310", which suggested that filing parties must "[c]onfirm[] that the disputed charge[s] [were] incurred on or after the enactment of P.L. 117-146" (i.e., June 16, 2022), and the FMC's additional Guidance that "Charge Complaint procedures do not apply to . . . Charges invoiced or assessed prior to the effective date of OSRA on June 16, 2022." Accordingly, Complainant respectfully requests that the Presiding Officer issue an Order that the procedure set forth in 46 U.S.C. Section 41310 is available to Complainant with respect to all of the Charges challenged herein (including those assessed prior to the enactment of OSRA 2022) and afford Complainant an opportunity to proceed pursuant to 46 U.S.C. Section 41310 with respect to the Charges. Complainant recognizes that, with respect to charges incurred prior to June 16, 2022, the FMC's substantive determinations will be based on 46 U.S.C. Sections 41104(a) and 41102, and 46 C.F.R. Section 545.5, as they existed at the time.

3. An Order compelling CMA to cease and desist from violation of the Shipping Act and to put in place lawful and reasonable practices to preclude CMA from assessing unfair and unreasonable detention and demurrage charges to Complainant and other shippers and their respective agents;

4. An Order requiring Respondent to pay Complainant reparations for the unlawful conduct alleged herein in an amount to be proven pursuant to 46 U.S.C. Section 41305, with interest pursuant to 46 U.S.C. Section 41305(a), Complainant's reasonable attorneys' fees as "the prevailing party" pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and

5. Such other and further orders or relief as the FMC deems just and proper.

X. REQUEST FOR ORAL HEARING

Complainant requests such hearing to be conducted in Washington, DC.

Dated: September 2, 2025

Respectfully submitted,

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VERIFICATION

I, Michael Goldberg, am an authorized signatory of Complainant 20230930-DK-Butterfly-I, Inc. (formerly known as Bed Bath & Beyond Inc.), P.O. Box 1596, Union, New Jersey, 07083, email michael.goldberg@akerkman.com. I have read the foregoing Verified Complaint and believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is true and correct. Executed on September 2, 2025.

